

Datadog, Inc.

1Q26 Recap: Broad-Based Strength

Inflecting AI and non-AI momentum, enterprise traction, multi-product adoption, and a much better-than-expected beat / guide drive break out quarter. DDOG is executing on leadership position and expanding the value.

Absent the tailwinds from DDOG's AI-native cohort, it's clear that the company is gaining share and driving consolidation of core observability workloads onto its platform. Management learned from its COVID mishap (when it believes that it did not hire enough sales reps to capture the opportunity) and is executing on an effective sales capacity ramp, product expansion across a wide variety of workloads, consolidation of legacy / competitive vendors, and capturing a clear leadership position with some of the largest AI-native companies. DDOG also unpacked an emerging opportunity in AI training workloads, which are beginning to shift to production use cases and are creating new observability demand (landing two hyperscalers in Q1 that wanted to outsource this work rather than build in-house). DDOG's guide highlights the resilient nature of this momentum (management highlighted continued trends in April to start Q2) and supports the outsized move in shares after the print. We reiterate our Overweight rating and raise our price target to \$215 (from \$148) on DDOG's strong results/guide.

The Numbers: Revenue accelerated to ~32% y/y (vs. ~29.2% in Q4) and came in 5% ahead of consensus expectations (vs. LTM average of ~3.8%). RPO grew ~51% y/y (vs. ~52% y/y in Q4) and Billings growth accelerated to 37% y/y (vs. 33.5% y/y in Q4). Non-GAAP gross margin was 80.2% (vs. 81.4% in Q4) and non-GAAP operating margin was 22.2% (vs. 24.1% in Q4).

Positives:(1) Q1 revenue growth accelerated to 32% y/y with record new logo bookings and both AI and non-AI cohorts inflecting (signaling broad-based strength). (2) DDOG highlighted that non-AI revenue accelerated to ~25% y/y in Q1 (vs. 23% y/y in Q4 and 20% y/y in Q3). Management described the core acceleration as being driven by multi-product attach rates, sales execution, and continued enterprise consolidation onto DDOG's platform. (3) DDOG said it is early but gaining traction in AI training workloads, including wins with hyperscalers and emerging demand for GPU monitoring, which could open a potentially large new TAM beyond inference. (4) DDOG's Q2 revenue guide is well-above Street expectations and implies continued acceleration (assuming even a much smaller beat compared to Q1).

Negatives: (1) DDOG noted that it is applying a higher-than-usual level of conservatism specifically to its largest customer by discounting its expected contribution more than the rest of the business in guidance. Despite this, DDOG's updated FY26 guide was well above expectations and highlights the diverse nature of its underlying business. (2) Non-GAAP gross

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DDOG

OVERWEIGHT

Unchanged

U.S. Software

POSITIVE

Unchanged

Price Target

USD 215.00

raised 45% from USD 148.00

Price (06-May-26)

USD 143.71

Potential Upside/Downside

+49.6%

Source: Bloomberg, Barclays Research

Market Cap (USD mn)

51152

Shares Outstanding (mn)

355.94

Free Float (%)

98.31

52 Wk Avg Daily Volume (mn)

5.5

Dividend Yield (%)

N/A

Return on Equity TTM (%)

3.34

Current BVPS (USD)

10.59

Source: Bloomberg

Price Performance

Exchange-Nasdaq

52 Week range

USD 201.69-98.01



Source: IDC

[Link to Barclays Live for interactive charting](#)

U.S. Software

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margins and operating margins were both down year-over-year. That said, management has reiterated its LT gross margin framework (high 70s - low 80s) and expects continued quarter to quarter variability due to platform investments, scaling costs, and infrastructure spending.

Upcoming Catalysts: Datadog Dash on June 9-10, Q2 Earnings in August (tentatively).

DDOG: Quarterly and Annual EPS (USD)

	2025	2026			2027			Change y/y	
FY Dec	Actual	Old	New	Cons	Old	New	Cons	2026	2027
Q1	0.46A	0.50E	0.60A	0.52E	0.56E	0.63E	0.62E	30%	5%
Q2	0.46A	0.51E	0.57E	0.52E	0.62E	0.69E	0.63E	24%	21%
Q3	0.55A	0.55E	0.60E	0.57E	0.67E	0.71E	0.70E	9%	18%
Q4	0.59A	0.57E	0.62E	0.61E	0.73E	0.76E	0.76E	5%	23%
Year	2.06A	2.13E	2.39E	2.23E	2.58E	2.80E	2.75E	16%	17%
P/E	69.8		60.0			51.3			

Consensus numbers are from Bloomberg received on 07-May-2026; 12:50 GMT
Source: Barclays Research

U.S. Software

POSITIVE

Datadog, Inc. (DDOG)

OVERWEIGHT

Income statement (\$mn)	2025A	2026E	2027E	2028E	CAGR
Revenue	3,427	4,336	5,238	6,336	22.7%
EBITDA (adj)	817	1,050	1,318	1,639	26.1%
Operating profit (adj)	768	960	1,193	1,484	24.6%
Pre-tax income (adj)	945	1,129	1,353	1,644	20.3%
Net income (adj)	747	892	1,069	1,299	20.3%
EPS (adj) (\$)	2.06	2.39	2.80	3.37	17.9%
Diluted shares (mn)	362.3	372.6	381.9	384.8	2.0%
DPS (\$)	0.00	0.00	0.00	0.00	N/A
Margin and return data	2025A	2026E	2027E	2028E	Average
EBITDA (adj) margin (%)	23.9	24.2	25.2	25.9	24.8
Operating margin (adj) (%)	22.4	22.1	22.8	23.4	22.7
Pre-tax (adj) margin (%)	27.6	26.0	25.8	26.0	26.4
Net (adj) margin (%)	21.8	20.6	20.4	20.5	20.8
ROIC (%)	-1.1	1.1	2.9	3.5	1.6
ROA (%)	1.6	2.1	1.9	1.7	1.8
ROE (%)	2.9	3.6	3.1	2.7	3.1
Balance sheet and cash flow (\$mn)	2025A	2026E	2027E	2028E	CAGR
Net PP&E	338	474	604	729	29.2%
Goodwill	531	541	541	541	0.6%
Cash and equivalents	401	1,236	2,594	4,268	119.9%
Total assets	6,644	8,082	9,771	11,804	21.1%
Short and long-term debt	1,279	1,273	1,257	1,241	-1.0%
Other long-term liabilities	12	13	13	13	3.9%
Total liabilities	2,912	3,288	3,768	4,362	14.4%
Net debt/(funds)	-3,196	-4,296	-5,669	-7,359	N/A
Shareholders' equity	3,732	4,794	6,003	7,442	25.9%
Change in working capital	53	143	281	362	89.1%
Cash flow from operations	1,050	1,314	1,613	1,954	23.0%
Capital expenditure	-135	-215	-255	-280	N/A
Free cash flow	915	1,099	1,357	1,674	22.3%
Valuation and leverage metrics	2025A	2026E	2027E	2028E	Average
P/E (adj) (x)	69.8	60.0	51.3	42.6	55.9
EV/sales (x)	14.2	11.2	9.3	7.7	10.6
EV/EBITDA (adj) (x)	59.6	46.4	37.0	29.7	43.2
Equity FCF yield (%)	1.8	2.1	2.5	3.0	2.3
Dividend yield (%)	0.0	0.0	0.0	0.0	0.0
Net debt/EBITDA (adj) (x)	-4.2	-3.3	-2.6	-2.1	-3.1
Total debt/capital (%)	25.5	21.0	17.3	14.3	19.5
Selected operating metrics (\$mn)	2025A	2026E	2027E	2028E	CAGR
Deferred revenue	1,262	1,578	1,957	2,426	24.3%

Note: FY End Dec

Source: Company data, Bloomberg, Barclays Research

Price (06-May-2026) **USD 143.71**
Price Target **USD 215.00**

Why OVERWEIGHT?

We see Datadog as a platform leader in observability, benefiting from secular tailwinds of cloud migration and digital transformation. The company's depth and breadth of its observability platform, along with best-in-class customer economics should continue to drive strong LT growth.

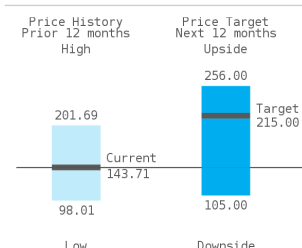
Upside case **USD 256.00**

Our upside case is based on 10% premium to CY27 FCF and a ~60x multiple.

Downside case **USD 105.00**

Our downside case is based on 15% discount to CY27 FCF and a ~30x multiple.

Upside/Downside scenarios



1Q26 Results

Below we provide a detailed Q1 results table that compares actual reported numbers vs. ours and consensus' estimates.

See the Figure below for a summary of actual results vs. consensus estimates and our estimates.

FIGURE 1. Summary of Actual vs. Barclays and Consensus Estimates

\$, mn	1Q25	1Q26	1Q26	Actual	1Q26	Actual
	Actual	Actual	Barclays	vs. Barclays	Cons.	vs. Cons.
Revenue	761.6	1,006.4	958.0	5.1%	958.4	5.0%
y/y growth	24.6%	32.2 %	25.8%		25.8%	
Gross profit, Non-GAAP	611.7	807.2	780.7	3.4%	774.8	4.2%
% margin	80.3%	80.2 %	81.5%		80.7%	
Operating profit, Non-GAAP	166.5	223.5	199.3	12.2%	204.3	9.4%
% margin	21.9%	22.2 %	20.8%		21.3%	
Net income, Non-GAAP	167.9	218.2	185.1	17.9%	187.4	16.4%
Non-GAAP EPS	0.46	0.60	0.50	19.0%	0.52	15.4%
FCF	244.4	289.1	262.9	9.9%	271.2	6.6%
% margin	32.1%	28.7 %	27.4%	4.6%	28.3%	1.5%

Source: Company data, Barclays Research, Bloomberg

Summary of Guidance

The company provided Q2 and updated FY26 guidance. For Q2, the company expects revenue in the range of \$1,070mn-\$1,080mn (vs. consensus of \$994.7mn), non-GAAP operating income of \$225mn-\$235mn (vs. consensus of \$202mn), and non-GAAP EPS of \$0.57-\$0.59 (vs. consensus of \$0.52). For FY26, the company updated FY revenue guidance to \$4.300bn-\$4.340bn and implied revenue growth of 26% y/y (vs. previous guide of \$4.060bn-\$4.100bn and consensus of \$4.090bn, implying ~19% y/y growth at the midpoint vs. 28% y/y growth in FY25), non-GAAP operating income of \$940mn-\$980mn (vs. previous guide of \$840mn-\$880mn and consensus of \$863.5mn, implying 21% non-GAAP operating margin at the midpoint vs. 22% margin in FY25), and non-GAAP EPS of \$2.36-\$2.44 (vs. previous guide of \$2.08-\$2.16 and consensus of \$2.13).

Management also guided FY26 net interest and other income to ~\$170mn (vs. previous guide of \$140mn), cash taxes of ~\$30-40mn, non-GAAP tax rate of ~21%, and CapEx plus capitalized software of ~4%-5% of revenue.

FIGURE 2. Summary of Management Guidance vs. Previous Barclays and Street Estimates

\$,mn	Q2					FY26				
	Low	High	Barclays	Consensus	Diff	Low	High	Barclays	Consensus	Diff
Revenue	1,070.0	1,080.0	990.3	994.7	8.1%	4,300.0	4,340.0	4,082.2	4,090.2	5.6%
y/y growth	29.4%	30.6%	19.8%	20.3%		25.5%	26.6%	19.1%	19.3%	
Non-GAAP Op. Income	225.0	235.0	204.0	202.0	13.9%	940.0	980.0	865.3	863.5	11.2%
% margin	21.0%	21.8%	20.6%	22.7%		21.9%	22.6%	21.2%	21.1%	
Non-GAAP EPS	0.57	0.59	0.51	0.52	11.5%	2.36	2.44	2.13	2.13	12.7%

Source: Company data, Barclays Research, Bloomberg

Takeaways from Management Callback

Datadog framed the large-customer lands in Q1 as AI labs inside established hyperscalers (not AI-native startups) that previously relied on homegrown tools but chose Datadog to accelerate training infrastructure. DDOG emphasized that this training observability opportunity is still extremely early and less predictable than the core observability business. A key point was that “AI training” increasingly requires full-stack observability beyond GPU utilization, because modern training pipelines include reinforcement learning, synthetic data generation, sandboxes, and multiple concurrent application environments (i.e. a larger monitoring footprint). Management also noted that this quarter’s acceleration and strong Q2 setup reflect compounding ARR with no change in guidance conservatism.

Summary of Estimate Changes

We have revised our numbers to reflect results and management’s outlook. We summarize the changes to our model in the table below. We maintain our Overweight rating, although raise our price target to \$215 (from \$148). Our PT is now based on ~55x CY27E FCF (prior: ~40x CY27E FCF) on our CY27 FCF estimate of ~\$1,357mn (prior: ~\$1,286mn).

FIGURE 3. Summary of Estimate Changes

\$, mn	2026E			2027E		
	New	Old	% Chg.	New	Old	% Chg.
Total ARR	5,063.2	4,943.7	2.4%	6,272.1	5,982.8	4.8%
Revenue	4,335.7	4,082.2	6.2%	5,237.8	4,862.8	7.7%
Gross Profit, Non-GAAP	3,515.2	3,328.0	5.6%	4,256.6	3,981.4	6.9%
% margin	81.1%	81.5%		81.3%	81.9%	
Operating profit, Non-GAAP	959.7	865.3	10.9%	1,193.0	1,097.2	8.7%
% margin	22.1%	21.2%		22.8%	22.6%	
Net Income	892.2	794.2	12.3%	1,068.9	977.4	9.4%
Non-GAAP EPS	2.39	2.13	12.2%	2.80	2.58	8.5%
FCF	1,099.2	1,045.8	5.1%	1,357.5	1,286.4	5.5%

Source: Company data, Barclays Research estimates

Financial Model

FIGURE 4. Datadog Income Statement

Fiscal year end Dec 31, \$ in mn	FY 2023	FY 2024	Q1 2025	Q2 2025	Q3 2025	Q4 2025	FY 2025	Q1 2026	Q2 2026E	Q3 2026E	Q4 2026E	FY 2026E	FY 2027E
Total Revenue	2,128.4	2,684.3	761.6	826.8	885.7	953.2	3,427.2	1,006.4	1,075.5	1,108.4	1,145.3	4,335.7	5,237.8
y/y growth	27.1%	26.1%	24.6%	28.1%	28.4%	29.2%	27.7%	32.2%	30.1%	25.2%	20.2%	26.5%	20.8%
q/q growth			3.2%	8.6%	7.1%	7.6%		5.6%	6.9%	3.1%	3.3%		
Cost of Sales	383.9	483.2	149.9	157.5	166.8	176.9	651.1	199.2	204.4	205.1	211.9	820.5	981.1
y/y growth	16.7%	25.9%	46.5%	36.1%	28.1%	31.1%	34.7%	32.9%	29.7%	22.9%	19.8%	26.0%	19.6%
q/q growth			11.1%	5.1%	5.9%	6.1%		12.6%	2.6%	0.3%	3.3%		
Gross Profit	1,744.4	2,201.0	611.7	669.2	718.9	776.3	2,776.1	807.2	871.2	903.4	933.4	3,515.2	4,256.6
Gross margin (%)	82.0%	82.0%	80.3%	80.9%	81.2%	81.4%	81.0%	80.2%	81.0%	81.5%	81.5%	81.1%	81.3%
OPERATING PROFIT													
R&D Expense	627.9	758.3	225.7	263.2	269.5	280.3	1,038.7	300.4	328.0	338.1	343.6	1,310.0	1,544.7
R&D margin (%)	29.5%	28.2%	29.6%	31.8%	30.4%	29.4%	30.3%	29.8%	30.5%	30.5%	30.0%	30.2%	29.5%
y/y growth	24.4%	20.8%	32.2%	45.5%	38.2%	32.4%	37.0%	33.0%	24.6%	25.4%	22.6%	26.1%	17.9%
q/q growth			6.7%	16.6%	19.4%	6.5%		7.2%	9.2%	3.1%	1.6%		
S&M Expense	500.6	629.0	178.4	200.0	195.5	219.1	793.1	235.3	258.1	266.0	269.1	1,028.6	1,257.1
S&M margin (%)	23.5%	23.4%	23.4%	24.2%	22.1%	23.0%	23.1%	23.4%	24.0%	24.0%	23.5%	23.7%	24.0%
y/y growth	20.6%	25.7%	24.8%	27.4%	25.5%	26.5%	26.1%	31.9%	29.0%	36.1%	22.8%	29.7%	22.2%
q/q growth			3.0%	12.1%	9.6%	9.6%		7.4%	9.7%	3.1%	1.2%		
G&A Expense	125.7	139.6	41.0	41.9	46.5	46.8	176.2	48.1	53.8	55.4	59.6	216.9	261.9
G&A margin (%)	5.9%	5.2%	5.4%	5.1%	5.2%	4.9%	5.1%	4.8%	5.0%	5.0%	5.2%	5.0%	5.0%
y/y growth	25.6%	11.0%	33.7%	22.9%	28.7%	21.0%	26.2%	17.3%	28.4%	19.3%	27.2%	23.1%	20.8%
q/q growth			6.0%	2.1%	13.3%	11.8%		2.7%	11.8%	3.1%	7.5%		
Other Expense	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Total costs and expenses	1,254.2	1,526.8	445.2	505.1	511.5	546.2	2,008.0	583.7	639.9	659.5	672.3	2,555.5	3,063.6
y/y growth	23.0%	21.7%	29.2%	35.8%	32.2%	28.9%	31.5%	31.1%	26.7%	28.9%	23.1%	27.3%	19.9%
margin (%)	58.9%	56.9%	58.5%	61.1%	57.8%	57.3%	58.6%	58.0%	59.5%	59.5%	58.7%	58.9%	58.5%
Non-GAAP Operating Profit (loss)	490.2	674.2	166.5	164.1	207.4	230.1	768.0	223.5	231.2	243.9	261.1	959.7	1,193.0
Operating profit margin (%)	23.0%	25.1%	21.9%	19.8%	23.4%	24.1%	22.4%	22.2%	21.5%	22.0%	22.8%	22.1%	22.8%
EBITDA, Adjusted	525.8	722.7	176.7	175.2	220.7	244.9	817.4	239.8	253.9	268.5	287.7	1,049.9	1,317.7
EBITDA, Adjusted margin (%)	24.7%	26.9%	23.2%	21.2%	24.9%	25.7%	23.9%	23.8%	23.6%	24.2%	25.1%	24.2%	25.2%
Other Income/(expense)	97.1	153.4	46.0	43.3	42.5	45.2	177.0	52.7	38.0	39.0	40.0	169.7	160.0
Pre-Tax Income	587.3	827.6	212.5	207.4	249.9	275.2	945.0	276.1	269.2	282.9	301.1	1,129.4	1,353.0
margin %	27.6%	30.8%	27.9%	25.1%	28.2%	28.9%	27.6%	27.4%	25.0%	25.5%	26.3%	26.0%	25.8%
Provision for (recovery of) income taxes	-7.1	-173.8	-44.6	-43.6	-52.5	-57.8	-198.5	-58.0	-56.5	-59.4	-63.2	-237.2	-284.1
Effective tax rate	-1.2%	-21.0%	-21.0%	-21.0%	-21.0%	-21.0%	-21.0%	-21.0%	-21.0%	-21.0%	-21.0%	-21.0%	-21.0%
Non-GAAP Net Income (Loss)	580.2	653.8	167.9	163.8	197.4	217.4	746.6	218.2	212.7	223.5	237.9	892.2	1,068.9
margin %	27.3%	24.4%	22.0%	19.8%	22.3%	22.8%	21.8%	21.7%	19.8%	20.2%	20.8%	20.6%	20.4%
Basic Sharecount	323.8	336.2	343.1	346.2	348.6	350.9	347.2	343.1	355.2	350.1	362.2	352.7	361.9
Diluted Sharecount	349.7	357.8	363.1	358.7	362.0	365.5	362.3	363.1	375.2	370.1	382.2	372.6	381.9
EPS	1.66	1.83	0.46	0.46	0.55	0.59	2.06	0.60	0.57	0.60	0.62	2.39	2.80

Source: Company data, Barclays Research estimates

FIGURE 5. Datadog Balance Sheet

Fiscal year end Dec 31, \$ in mn	FY 2023	FY 2024	FY 2025	Q1 2026	Q2 2026E	Q3 2026E	Q4 2026E	FY 2026E	Q1 2027E	Q2 2027E	Q3 2027E	Q4 2027E	FY 2027E
ASSETS													
Cash and cash equivalents	330.3	1,247.0	401.3	426.4	626.2	879.4	1,236.4	1,236.4	1,590.4	1,841.4	2,163.7	2,593.9	2,593.9
Accounts receivable	509.3	598.9	741.3	680.4	791.9	755.2	906.1	906.1	839.5	991.8	860.1	1,051.2	1,051.2
Deferred Contract Costs	44.9	56.1	76.0	81.7	71.6	67.8	78.3	78.3	80.8	85.9	87.4	89.8	89.8
Prepaid expenses and other current assets	41.0	67.0	90.2	104.5	86.0	88.7	108.8	108.8	121.3	83.8	101.2	138.6	138.6
Total current assets	3,178.1	4,911.1	5,382.3	5,625.2	5,908.0	6,123.4	6,662.0	6,662.0	6,964.2	7,335.2	7,544.6	8,205.8	8,205.8
Property and Equipment, net	171.9	227.0	338.1	378.9	411.9	443.5	474.0	474.0	504.0	533.7	569.6	604.2	604.2
Operating lease asset	126.6	172.5	214.7	213.3	209.8	206.3	202.8	202.8	199.3	195.8	192.3	188.8	188.8
Goodwill	352.7	360.4	530.6	540.5	540.5	540.5	540.5	540.5	540.5	540.5	540.5	540.5	540.5
Intangibles, net	9.6	3.7	15.0	14.9	14.9	14.8	14.8	14.8	14.7	14.7	14.7	14.6	14.6
Deferred Contract Costs - non current	73.7	86.6	126.7	136.3	122.0	120.6	139.3	139.3	137.5	146.2	155.5	159.7	159.7
Restricted cash	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Other non current assets	23.5	24.1	36.5	42.9	44.9	46.9	48.9	48.9	50.9	52.9	54.9	56.9	56.9
Total assets	3,936.1	5,785.3	6,643.8	6,952.0	7,251.9	7,496.0	8,082.2	8,082.2	8,411.1	8,819.0	9,072.0	9,770.5	9,770.5
Current liabilities													
Accounts payable	87.7	107.7	148.8	174.8	204.4	177.3	183.2	183.2	181.9	257.9	202.4	207.9	207.9
Accrued expenses and other current liabilities	127.6	127.1	209.6	208.5	215.1	232.8	240.5	240.5	272.8	296.6	323.9	332.7	332.7
Operating lease liability, current	22.0	32.0	39.4	41.4	41.4	41.4	41.4	41.4	41.4	41.4	41.4	41.4	41.4
Deferred revenue	765.7	961.9	1,193.6	1,231.2	1,256.3	1,245.7	1,530.6	1,530.6	1,554.5	1,570.4	1,544.7	1,898.0	1,898.0
Total current liabilities	1,003.1	1,862.7	1,591.4	1,655.9	1,717.2	1,697.2	1,995.8	1,995.8	2,050.7	2,166.3	2,112.3	2,480.0	2,480.0
Operating lease liability, non-current	138.1	196.9	256.2	259.2	255.2	251.2	247.2	247.2	243.2	239.2	235.2	231.2	231.2
Deferred revenue, non-current	21.2	22.7	68.7	50.9	38.9	38.5	47.3	47.3	48.1	48.6	47.8	58.7	58.7
Other liabilities	6.1	9.4	11.9	13.3	13.3	13.3	13.3	13.3	13.3	13.3	13.3	13.3	13.3
Total liabilities	1,910.7	3,071.0	2,911.6	2,963.8	3,009.0	2,984.7	3,288.1	3,288.1	3,339.7	3,451.8	3,393.1	3,767.7	3,767.7
Convertible preferred stock	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Total Equity	2,025.4	2,714.4	3,732.2	3,988.2	4,242.9	4,511.3	4,794.1	4,794.1	5,071.4	5,367.2	5,678.9	6,002.8	6,002.8
Total liabilities and equity	3,936.1	5,785.3	6,643.8	6,952.0	7,251.9	7,496.0	8,082.2	8,082.2	8,411.1	8,819.0	9,072.0	9,770.5	9,770.5

Source: Company data, Barclays Research estimates

FIGURE 6. Datadog Cash Flow

Fiscal year end Dec 31, \$ in mn	FY 2023	FY 2024	FY 2025	Q1 2026	Q2 2026E	Q3 2026E	Q4 2026E	FY 2026E	Q1 2027E	Q2 2027E	Q3 2027E	Q4 2027E	FY 2027E
Cash Flows from Operating Activities:													
Net Income	48.6	183.7	107.7	52.6	28.8	41.2	48.1	170.6	40.8	44.3	48.6	53.6	187.4
Depreciation and amortization	44.5	54.9	55.8	17.9	22.7	24.7	26.6	92.0	28.4	30.2	32.0	34.2	124.9
Amortization of deferred contract costs	2.2	26.1	14.6	(11.9)				(11.9)					0.0
Stock-based compensation	482.3	570.3	750.7	196.8	225.9	227.2	234.8	884.7	236.5	251.4	263.1	270.3	1,021.4
Noncash lease expense	26.4	27.3	35.5	9.1	(0.5)	(0.5)	(0.5)	7.6	(0.5)	(0.5)	(0.5)	(0.5)	(2.0)
Provision for accounts receivable allowance	11.9	14.8	17.0	5.0				5.0					0.0
Loss on disposal of property and equipment	0.7	1.7	2.1	1.1				1.1					0.0
Other	(1.2)	(21.6)	13.2	21.4				21.4					0.0
Changes in assets and liabilities	44.6	13.3	53.5	42.6	(21.4)	16.9	105.2	143.4	107.2	(14.5)	46.9	141.5	281.0
Accounts receivable	(121.7)	(104.5)	(157.4)	55.9	(111.4)	36.7	(151.0)	(169.8)	66.6	(152.3)	131.7	(191.1)	(145.0)
Deferred contract costs	(69.5)	(76.0)	(126.8)	(35.5)	24.4	5.2	(29.2)	(35.2)	(0.7)	(13.8)	(10.8)	(6.6)	(31.9)
Prepaid expenses and other current assets	(13.5)	(26.7)	(21.3)	(14.4)	18.4	(2.6)	(20.1)	(18.8)	(12.5)	37.5	(17.4)	(37.4)	(29.8)
Other assets	1.0	(1.0)	(3.8)	(0.5)	(2.0)	(2.0)	(2.0)	(6.4)	(2.0)	(2.0)	(2.0)	(2.0)	(7.8)
Accounts payable	57.8	25.6	36.6	21.5	29.6	(27.0)	5.9	29.9	(1.3)	76.0	(55.5)	5.5	24.7
Accrued expenses and other current liabilities	(40.5)	(1.6)	52.9	(3.9)	6.6	17.7	7.7	28.1	32.3	23.7	27.3	8.9	92.2
Deferred revenue	231.0	197.5	273.3	19.6	13.1	(11.0)	293.7	315.5	24.6	16.4	(26.6)	364.2	378.7
Other Liabilities													
Net cash (used in) provided by operating activities	660.0	870.6	1,050.1	334.6	255.5	309.6	414.1	1,313.8	412.4	311.0	390.1	499.1	1,612.6
% margin	31.0%	32.4%	30.6%	33.2%	23.8%	27.9%	36.2%	30.3%	34.0%	24.1%	28.9%	36.0%	30.8%
Purchase of Property and equipment	(27.6)	(34.7)	(49.6)	(11.4)	(21.5)	(22.2)	(22.9)	(77.9)	(24.3)	(25.8)	(33.7)	(34.7)	(118.4)
Capitalize internal use software	(34.8)	(60.8)	(85.8)	(34.2)	(34.2)	(34.2)	(34.2)	(136.7)	(34.2)	(34.2)	(34.2)	(34.2)	(136.7)
Cash paid for acquisitions; net of cash acquired	(12.5)	(7.1)	(118.0)	(10.7)				(10.7)					0.0
Restricted cash paid for collateral for leases	0.0	(0.0)	(0.0)	0.0				0.0					0.0
Net cash provided by (used in) investing activities	(731.4)	(736.8)	(1,334.5)	(314.8)	(55.7)	(56.3)	(57.1)	(483.9)	(58.4)	(60.0)	(67.9)	(68.8)	(255.1)
Net cash provided by (used in) financing activities	58.3	787.1	63.3	9.7	0.0	0.0	0.0	9.7	0.0	0.0	0.0	0.0	0.0
Effect of exchange rate changes in cash	1.2	(4.2)	11.2	(4.5)				(4.5)					0.0
Net increase (decrease) in cash and equivalents	(11.9)	916.6	(845.7)	25.1	199.8	253.2	357.0	835.1	354.0	251.0	322.2	430.3	1,357.5
Cash and equivalents at beginning of the period	342.3	330.3	1,247.0	401.3	426.4	626.2	879.4	401.3	1,236.4	1,590.4	1,841.4	2,163.7	1,236.4
Cash and equivalents at end of the period	330.3	1,247.0	401.3	426.4	626.2	879.4	1,236.4	1,236.4	1,590.4	1,841.4	2,163.7	2,593.9	2,593.9
Free Cash Flow	597.5	775.1	914.7	289.1	199.8	253.2	357.0	1,099.2	354.0	251.0	322.2	430.3	1,357.5
% margin	28.1%	28.9%	26.7%	28.7%	18.6%	22.8%	31.2%	25.4%	29.2%	19.5%	23.9%	31.0%	25.9%

Source: Company data, Barclays Research estimates

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Primary Stocks (Ticker, Date, Price)

Datadog, Inc. (DDOG, 06-May-2026, USD 143.71), Overweight/Positive, CE/J

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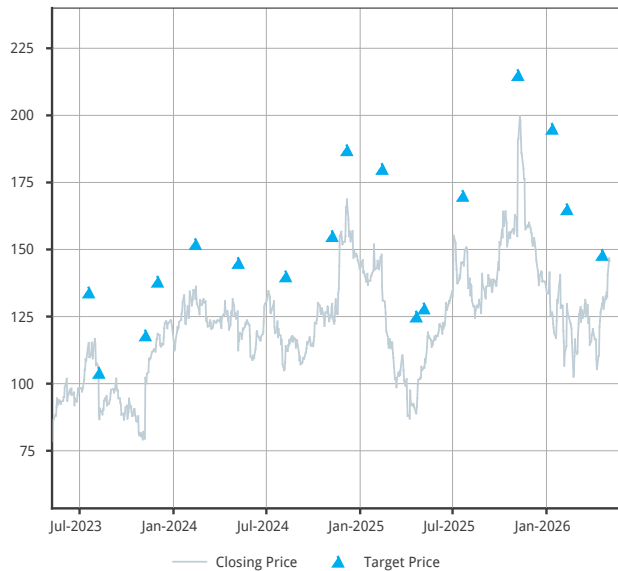
Stock Rating: **OVERWEIGHT**

Industry View: **POSITIVE**

Closing Price: **USD 143.71** (06-May-2026)

Rating and Price Target Chart - USD (as of 06-May-2026)

Currency=USD



Source: IDC, Barclays Research

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Publication Date	Closing Price*	Rating	Adjusted Price Target
20-Apr-2026	126.61		148.00
10-Feb-2026	114.01		165.00
12-Jan-2026	125.49		195.00
06-Nov-2025	190.82		215.00
21-Jul-2025	145.02		170.00
06-May-2025	105.70		128.00
21-Apr-2025	91.18		125.00
13-Feb-2025	135.89		180.00
06-Dec-2024	163.35		187.00
07-Nov-2024	129.79		155.00
08-Aug-2024	105.47		140.00
07-May-2024	126.97		145.00
13-Feb-2024	134.85		152.00
01-Dec-2023	116.57		138.00
07-Nov-2023	79.55		118.00
08-Aug-2023	106.30		104.00
19-Jul-2023	113.82		134.00

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